

Inter-governmental Fiscal Management Act, 2017

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Inter-Governmental Financial Management Act, 2074

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Amending Acts

1. Finance Act, 2075 2075.3.32
2. Some Nepal Acts Amendment Act, 2075 2075.11.19
3. Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075 2075.11.19

Act Number 21 of the Year 2074

An Act Made to Provide for Inter-Governmental Financial Management

Preamble: Whereas, it is desirable to make necessary provisions regarding the revenue authority of the Government of Nepal, Province and Local Level, revenue sharing, grants, loans, budget management, public expenditure, and fiscal discipline,

The Legislature-Parliament has enacted this Act pursuant to Sub-article (1) of Article 296 of the Constitution of Nepal. Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be cited as the "Inter-Governmental Financial Management Act, 2074".

(2) Sections 5, 6 and 7 of this Act shall commence from the 1st day of Shrawan of the year 2075, and the other Sections shall commence immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Commission" means the National Natural Resources and Fiscal Commission constituted pursuant to Article 250 of the Constitution.

(b) "Deficit Budget" means a budget in which expenditure is provided for in excess of the sum of revenue and grants.

(c) "Province Consolidated Fund" means the Province Consolidated Fund constituted pursuant to Article 204 of the Constitution.

(d) "Ministry" means the Ministry of Finance of the Government of Nepal.

(e) "Plan" includes a scheme, project, or program.

(f) "Fiscal Equalization Grant" means the grant referred to in Section 8.

(g) "Special Grant" means the grant referred to in Section 11.

(h) "Complementary Grant" means the grant referred to in Section 10.

(i) "Conditional Grant" means the grant referred to in Section 9.

(j) "Local Consolidated Fund" means the Local Consolidated Fund constituted pursuant to Article 229 of the Constitution.

(k) "Federal Consolidated Fund" means the Federal Consolidated Fund constituted pursuant to Article 116 of the Constitution.

(l) "Constitution" means the Constitution of Nepal. Chapter-2
Revenue Authority

3.

Power to Levy Taxes, Fees, and Royalties: (1) The Government of Nepal may levy and collect the taxes and non-taxes specified in Schedule-1 in accordance with federal law. (2) A Province may levy and collect the taxes and non-taxes specified in Schedule-2 in accordance with provincial law. (3) A Local Level may levy and collect the taxes and non-taxes specified in Schedule-3 in accordance with local law. (4) The Government of Nepal, Province and Local Level shall collect fines and penalties within their authority, imposed under the prevailing law. (5) While levying taxes pursuant to Sub-section (2) or (3), the Province or Local Level must do so in a manner that does not adversely affect the national economic policy, the flow of goods and services, capital and labor markets, and neighboring Provinces and Local Levels. (6) The Government of Nepal may levy and collect royalties on natural resources in accordance with federal law. 4. Basis for Determining Non-Tax Rates: The Government of Nepal, Province and Local Level shall determine the rates of non-taxes based on the cost of goods or services, and operating and maintenance expenses. Amended by Finance Act, 2075. 5. Single Tax Administration: (1) Notwithstanding anything contained in this Section or in the prevailing law, the taxes mentioned below, which are included in the lists of authority of both Province and Local Level in the Schedules of the Constitution, shall be levied and collected as follows:- (a) The rate of vehicle tax shall be levied and collected by the Province, Provided that, the rate of vehicle tax on tanga, rickshaw, auto-rickshaw and e-rickshaw shall be levied and collected by the Rural Municipality or Municipality. (b) The rate of house and land registration fee shall be levied by the Province and collected by the Rural Municipality or Municipality, (c) The rate of entertainment tax shall be levied by the Province and collected by the Rural Municipality or Municipality, (d) The rate of advertisement tax shall be levied and collected by the Rural Municipality or Municipality. (2) Of the amount collected from the taxes pursuant to Clauses (b), (c) and (d) of Sub-section (1), sixty percent shall be deposited in the Local Consolidated Fund of the concerned Rural Municipality or Municipality, and forty percent shall be deposited monthly in the Province Consolidated Fund. Chapter-3 Revenue Sharing 6.

Sharing of Value Added Tax and Excise Duty: (1) For the purpose of sharing the amount of value added tax and excise duty collected from internal production among the Government of Nepal, Provinces, and Local Levels, the Government of Nepal shall establish a Federal Divisible Fund and deposit such amount in that Fund. (2) Of the amount deposited in the Federal Divisible Fund pursuant to Sub-section (1), seventy percent shall be distributed to the Government of Nepal, fifteen percent to the Provinces, and fifteen percent to the Local Levels. (3) Of the amount distributed among the Government of Nepal, Provinces, and Local Levels pursuant to Sub-section (2), the amount receivable by the Government of Nepal shall be deposited in the Federal Consolidated Fund, and the Government of Nepal shall establish the following divisible funds and deposit therein the amount receivable by the Provinces and Local Levels:- (a) Provincial Divisible Fund for

the amount receivable by the Provinces, (b) Local Divisible Fund for the amount receivable by the Local Levels. (4) The amount deposited in the Provincial Divisible Fund and the Local Divisible Fund pursuant to Sub-section (3) shall be distributed to each Province and Local Level in accordance with the basis and framework determined by the Commission, subject to the Constitution and this Act. (5) The amount receivable by each Province from the distribution pursuant to Sub-section (4) shall be made available monthly to be deposited in the concerned Province Consolidated Fund, and the amount receivable by each Local Level shall be made available monthly to be deposited in the concerned Local Consolidated Fund. (6) Accounts shall be reconciled in the last month of the fiscal year for the amounts distributed pursuant to this Section. Inserted by Finance Act, 2075.6a.

Sharing of Vehicle Tax: (1) The amount collected from the vehicle tax levied and collected by the Province pursuant to Clause (a) of Sub-section (1) of Section 5 shall be deposited by the Provincial Government in the Provincial Divisible Fund. (2) Of the amount deposited in the Provincial Divisible Fund pursuant to Sub-section (1), sixty percent shall be distributed to the Provincial Government and forty percent to the Local Levels. (3) Of the amount deposited in the Provincial Divisible Fund pursuant to Sub-section (2), the amount receivable by the Provincial Government shall be deposited in the Province Consolidated Fund, and the amount to be provided to the Local Levels shall be deposited in the Local Divisible Fund. (4) The amount deposited in the Local Divisible Fund pursuant to Sub-section (3) shall be distributed by the Provincial Government to the Local Levels in accordance with the basis and framework determined by the Commission, subject to the Constitution and this Act. (5) The Provincial Government shall deposit the amount receivable by each Local Level from the distribution pursuant to Sub-section (4) monthly in the concerned Local Consolidated Fund. (6) Accounts shall be reconciled in the last month of the fiscal year for the amounts distributed pursuant to this Section. 7. Sharing of Royalties from Natural Resources: (1) For the purpose of sharing royalties received from natural resources among the Government of Nepal, Provinces, and Local Levels in accordance with federal law, the Government of Nepal shall establish a Federal Divisible Fund and deposit the amount received from such royalties in that Fund. (2) The Government of Nepal shall distribute the royalties held in the Fund pursuant to Sub-section (1) annually as per Schedule-4. (3) The amount distributed pursuant to Sub-section (2) shall be made available so that the amount receivable by the Government of Nepal is deposited in the Federal Consolidated Fund, the amount receivable by a Province is deposited in the concerned Province Consolidated Fund, and the amount receivable by a Local Level is deposited in the concerned Local Consolidated Fund. Chapter-4 Provisions on Grants 8. Fiscal Equalization Grant: (1) The Government of Nepal shall distribute fiscal equalization grants to Provinces and Local Levels, based on their expenditure needs and revenue capacity, upon the recommendation of the Commission. (2) A Province shall distribute fiscal equalization grants under provincial law to Local Levels within the Province, based on their expenditure needs and revenue capacity, upon the recommendation of the Commission, taking into account the grant received from the Government of Nepal pursuant to Sub-section (1) and the revenue collected from its own sources. 9.

Conditional Grant: (1) The Government of Nepal shall provide conditional grants to Provinces and Local Levels, based on the criteria set by the Commission pursuant to Clause (c) of Sub-section (1) of Article 251 of the Constitution, for implementing any plan of the Province, Local Level, or the Government of Nepal. (2) While providing a conditional grant pursuant to Sub-section (1), the Government of Nepal shall specify necessary conditions regarding the implementation of the plan, and the concerned Province or Local Level shall comply with such conditions. (3) A Province shall provide conditional grants to Local Levels under provincial law based on the criteria set by the Commission. 10. Complementary Grant: (1) The Government of Nepal may provide complementary grants to Provinces and Local Levels for implementing any plan related

to infrastructure development. (2) While providing a complementary grant pursuant to Sub-section (1), the following matters shall be taken as basis:- (a) Feasibility of the plan, (b) Cost of the plan, (c) Return or benefit derived from the plan, (d) Financial and physical capacity or manpower to implement the plan, (e) Need and priority of the plan. (3) A Province may provide complementary grants to Local Levels under provincial law. (4) The complementary grant pursuant to Sub-section (1) and (3) shall be provided based on the proportion of the total cost of the plan. (5) The procedures for providing complementary grants and other arrangements shall be as determined by the Government of Nepal. 11. Special Grant: (1) The Government of Nepal may provide a special grant for a specific plan to be operated by a Province or Local Level with any of the following objectives:- (a) To develop and supply basic services like education, health, and drinking water, (b) To ensure balanced development among Provinces or Local Levels, (c) To uplift or develop a class or community that is discriminated against economically, socially, or in any other manner. (2) A Province may provide special grants to Local Levels under provincial law. (3) The procedures for providing special grants and other arrangements shall be as determined by the Government of Nepal. Chapter-5 Foreign Assistance and Internal Loans 12.

Authority to Obtain Foreign Assistance: (1) The authority to obtain foreign grants or loans shall vest in the Government of Nepal. (2) While obtaining foreign grants or loans, the Government of Nepal must do so in a manner that ensures the macroeconomic stability of the country. (3) The Government of Nepal may obtain foreign grants or assistance for plans or programs to be implemented by Provinces or Local Levels. (4) No Province or Local Level shall, without prior approval of the Government of Nepal, obtain any kind of foreign grant or assistance, or implement or cause to implement any plan or program under foreign grant or assistance. 13. Areas and Use of Foreign Assistance: (1) The Government of Nepal must obtain foreign assistance transparently, assessing the return and achievement from the mobilization of such assistance. (2) The Government of Nepal must mobilize foreign assistance received pursuant to Sub-section (1) in the following areas of national need and priority:- (a) Construction, maintenance and rehabilitation of physical infrastructure, (b) Education, health and human development, (c) Domestic production and productivity enhancement, (d) Employment creation and capacity development within the country, (e) Disaster management, (f) Development and transfer of science and technology, (g) Environmental protection and climate change, (h) Investment to be made under public private partnership, (i) Areas among those where the capacity of public, private, cooperative and community sectors is insufficient, which the Government of Nepal determines to be suitable for obtaining foreign assistance. 14. Internal Loans: (1) The Government of Nepal, Province and Local Level may obtain internal loans within the limit recommended by the Commission. Provided that, the Province or Local Level must obtain the consent of the Government of Nepal before taking an internal loan. (2) The Government of Nepal and a Province may raise internal loans by issuing bonds, subject to the prevailing law. (3) When a Province or Local Level requests the consent of the Government of Nepal to take an internal loan, it shall submit to the Ministry a proposal containing the plan for which the loan is sought, the return and achievement likely to be derived from the plan, the loan repayment plan, and details of the lending institution. (4) If the proposal submitted pursuant to Sub-section (3) appears feasible, the Government of Nepal may grant consent to the concerned Province or Local Level to take the internal loan. 15.

Government of Nepal May Provide Loans: (1) The Government of Nepal may provide loans to a Province or Local Level. (2) A Province or Local Level may request the Ministry for a loan, specifying the use of the loan amount, the method of repayment, and the time limit. (3) If the request received pursuant to Sub-section (2) appears reasonable, the Government of Nepal may grant approval to provide the loan. (4) If approval is given by the Government of Nepal to provide a loan pursuant to Sub-section (3), the Ministry shall enter into an

agreement with the concerned Province or Local Level. (5) If a loan received from the Government of Nepal is not repaid by the Province or Local Level within the period specified in the agreement, the Government of Nepal may recover such loan amount from the grants provided to the concerned Province or Local Level.

Chapter-6 Public Expenditure Arrangements

16. To Prepare Estimated Statement of Public Expenditure: (1) The Government of Nepal, Province and Local Level shall prepare an estimated statement of public expenditure to be incurred on matters within their respective functional areas in each fiscal year. (2) While preparing the statement pursuant to Sub-section (1), amounts required for current expenditure, capital expenditure, and financing arrangements shall be segregated.

17. Medium-Term Expenditure Framework to be Prepared: (1) While preparing the statement of public expenditure pursuant to Section 16, the Government of Nepal, Province and Local Level shall prepare a medium-term expenditure framework including projections of expenditure for the next three fiscal years. (2) The medium-term expenditure framework to be prepared pursuant to Sub-section (1) shall specify the following details:- (a) Objective of the proposed plan, (b) Justification of the need to conduct a feasibility study or allocate expenditure for the proposed plan, (c) Return and achievement likely to be obtained in the fiscal year in which the proposed plan can be implemented and in the subsequent two fiscal years, (d) Details of expenditure required to implement the proposed plan, (e) Source of financing the expenditure and projection of return and achievement likely to be made from the amount spent, (f) Medium-term expenditure strategy of the proposed plan and its consistency with the annual expenditure, (g) Actual details of whether targets were achieved according to the expenditure allocated in the previous fiscal year, if the plan is ongoing. (3) Notwithstanding anything contained in Sub-section (1), a Province or Local Level may, for up to three years from the date of commencement of this Act, prepare the medium-term expenditure framework pursuant to the same Sub-section based on their own priorities and needs.

18.

Projection of Income and Expenditure: (1) The Province and Local Level shall submit the following details, including data projecting income and expenditure for the upcoming fiscal year, to the Ministry within the end of Poush each year:- (a) Estimate of expenditure, (b) Estimated revenue that can be collected from own sources, (c) Estimated amount receivable from revenue sharing, (d) Estimated amount receivable from grants, (e) Estimated amount required to cover the budget deficit and its source. (2) The Government of Nepal shall, after consultation with the Commission, provide to the Provinces and Local Levels, within the end of Falgun of the current fiscal year, details of estimated resources to be provided by the Government of Nepal to the Provinces and Local Levels for the upcoming fiscal year under the revenue sharing pursuant to Section 6 and the fiscal equalization grant pursuant to Section 8. (3) The Provincial Government shall, after consultation with the Commission, provide to the Local Levels, within the end of Chaitra of the current fiscal year, an estimated statement of financial grants to be provided to the Local Levels pursuant to Sub-article (5) of Article 60 of the Constitution.

19. Revenue Proposal to be Prepared: (1) While proposing a tax or non-tax revenue or while changing an existing tax or non-tax revenue, the Government of Nepal, Province and Local Level shall prepare a proposal mentioning the necessity, justification, and the impact thereof. (2) While preparing a revenue proposal pursuant to Sub-section (1), the Province or Local Level shall, as far as possible, ensure consistency with the taxes or non-taxes and their rates levied by the Government of Nepal, other Provinces or Local Levels on similar matters.

Chapter-7 Estimation of Revenue and Expenditure

20. Economic Survey to be Presented: The Government of Nepal shall present an economic survey to the Federal Parliament before presenting the estimates of revenue and expenditure.

21.

Estimates of Revenue and Expenditure to be Presented: (1) The Finance Minister of the Government of Nepal shall, each year, present the estimates of revenue and expenditure for the upcoming fiscal year to the joint sitting of both Houses of the Federal Parliament in accordance with the Constitution. (2) The Finance

Minister of a Province shall, each year, present the estimates of revenue and expenditure for the upcoming fiscal year to the Provincial Assembly within the first day of the month of Asar. (3) The Village Executive and Municipal Executive shall, each year, present the estimates of revenue and expenditure for the upcoming fiscal year to the concerned Village or Municipal Assembly within the tenth day of the month of Asar. (4) The Province and Local Level shall present estimates of revenue and expenditure in such a way that administrative expenses are met from the revenue collected by them and the amount receivable from revenue sharing under this Act. (5) The estimates of revenue and expenditure presented pursuant to this Section shall conform to the standards pursuant to Section 38. 22.

Details to be Annexed with Estimates of Revenue and Expenditure: (1) While presenting the estimates of revenue and expenditure, the Government of Nepal and Province shall annex the following details:- (a) Details of whether revenue collection was according to the estimate made in the previous fiscal year, and whether the expenditure amount allocated to each Ministry and the targets corresponding to the expenditure were achieved, (b) Medium-term expenditure framework pursuant to Section 17, (c) Projection of revenue, expenditure and estimates for the next three fiscal years, (d) Details regarding loans, investments and liabilities, (e) Fiscal policy stating the strategy to be adopted to maintain fiscal balance, (f) Macroeconomic situation stating the growth rate of gross domestic product, inflation, current account balance and balance of payments position for the next three fiscal years, (g) Details of exemptions provided in tax or non-tax, (h) Details of foreign assistance received in the previous fiscal year. (2) If revenue collection was not according to the estimate made in the previous year, or if the amount allocated to a Ministry was not spent according to the target, the Government of Nepal and Province shall mention the reasons and the remedial measures to be taken therefor in the details under Clause (a) of Sub-section (1). (3) Notwithstanding anything contained in Clause (f) of Sub-section (1), a Province shall not be required to present the details as per that Clause. (4) While presenting the estimates of revenue and expenditure, a Local Level shall annex details of the reasons for failure to collect revenue according to the estimate made in the previous fiscal year, or failure to spend the amount allocated for expenditure according to the target, and the remedial measures to be taken therefor. 23.

Deficit Budget May be Presented: (1) The Government of Nepal, Province and Local Level may present a deficit budget as required to the respective legislature. (2) While presenting a deficit budget pursuant to Sub-section (1), a clear basis for the source to cover the budget deficit must also be specified. (3) While presenting a deficit budget pursuant to Sub-section (1), the Province and Local Level shall comply with any suggestion or direction given by the Government of Nepal in accordance with the Constitution and the prevailing law. (4) Notwithstanding anything contained elsewhere in this Section, a deficit budget shall not be presented to meet administrative expenses. 24.

Advance Spending: (1) While an Appropriation Bill is under consideration, the Government of Nepal and Province may incur expenditure under law not exceeding one-third of the expenditure estimate of the current fiscal year. (2) While an Appropriation Bill is under consideration, a Local Level may incur expenditure under law not exceeding one-third of the expenditure estimate of the current fiscal year. (3) The amount spent pursuant to Sub-sections (1) and (2) shall be included in the Appropriation Bill. Chapter-8 Fiscal Discipline 25.

Economic and Fiscal Policy to be Followed: While formulating economic and fiscal policy, the Province and Local Level shall follow the economic and fiscal policy of the Government of Nepal. 26. To be Deposited in the Consolidated Fund: Except where otherwise provided in this Act, all income receivable by the Government of Nepal, Province and Local Level shall be deposited in their respective Consolidated Fund. 27.

Expenditure Only After Budgetary Provision: The Government of Nepal, Province and Local Level shall incur expenditure, other than amounts constituting a charge on the Consolidated Fund, only after making provision in their budget and after such budget is approved by the respective legislature. 28. Use of Grants: The

amount of grants received under this Act or the prevailing law shall be used for the same purpose for which it was received. 29. Transfer Prohibited: Amount allocated as capital expenditure in the budget shall not be transferred to current expenditure. 30. Transparency to be Maintained: (1) The Government of Nepal, Province and Local Level shall conduct financial management related work transparently in accordance with this Act and the prevailing law. (2) The Government of Nepal, Province and Local Level shall have the accounts of the income and expenditure statement audited in accordance with the prevailing law and publish the details thereof within fifteen days. (3) The Government of Nepal, Province and Local Level shall conduct an annual review of budget implementation and publish the details thereof within the end of Kartik each year. (4) The Government of Nepal shall prepare an integrated economic statement based on the financial statements of the Provinces and Local Levels as well, and publish it within the end of Poush each year. 31. Classification and Accounting of Income and Expenditure: The Government of Nepal, Province and Local Level shall classify and account for income and expenditure Amended by the Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075.in accordance with the recommendation of the Office of the Comptroller General and approved by the Office of the Auditor General. 32.

Periodic Statement to be Submitted: (1) The Government of Nepal, Province and Local Level shall prepare a periodic statement of income and expenditure in the format Amended by the Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075.recommended by the Office of the Comptroller General and approved by the Office of the Auditor General. (2) The Province shall submit to the Ministry a quarterly statement of its income and expenditure, including the statements received from Local Levels pursuant to Sub-section (3), within thirty days from the date of expiry of such period. (3) The Local Level shall submit a quarterly statement of its income and expenditure to the Ministry and the Province within fifteen days from the date of expiry of such period. (4) While submitting the statement of income and expenditure for the second quarter pursuant to Sub-sections (2) and (3), the Province and Local Level shall also submit an estimate of income and expenditure likely to occur in the third quarter. (5) If the statements are not submitted within the time period specified under Sub-sections (2) and (3), the Government of Nepal may withhold the grants provided to the Province and Local Level. Chapter-9 Miscellaneous 33. Inter-Governmental Finance Council: (1) There shall be an Inter-Governmental Finance Council as follows for necessary consultation and coordination on matters of inter-governmental financial management between the Government of Nepal, Province and Local Levels:- (a) Finance Minister of the Government of Nepal - Coordinator (b) Finance Minister of the Province - Member (c) Amended by Some Nepal Acts Amendment Act, 2075.Fourteen persons recommended by each Province, representing two persons including one woman from each Province, from among the Chairperson or Vice-Chairperson of Rural Municipalities and the Mayor or Deputy Mayor of Municipalities - Member (d) Three persons including at least one woman, nominated by the Ministry from among experts on finance - Member (e) Secretary, Ministry - Member Secretary (2) The term of office of a nominated member pursuant to Clause (d) of Sub-section (1) shall be three years. (3) Notwithstanding anything contained in Sub-section (2), if a nominated member fails to fulfill the responsibilities of the office, the Ministry may remove him/her from membership at any time.

Provided that, before removing him/her from membership in such manner, an opportunity to submit a defense shall be given.

(4) The meeting of the Inter-Governmental Finance Council shall be held once in the month of Chaitra each year, and other meetings shall be held on the date and time specified by the Coordinator.

(5) The Chairperson of the Commission or a member designated by him/her, and representatives of other bodies may be invited to a meeting of the Inter-Governmental Finance Council.

(6) Other procedures relating to the meeting of the Inter-Governmental Finance Council shall be as determined by the Council itself. 34. Government of Nepal May Give Directions: (1) The Government of Nepal may, pursuant to Sub-article (2) of Article 232 of the Constitution, give necessary directions to the Provincial Council of Ministers on matters of finance requiring coordination among Provinces, and it shall be the duty of the Provincial Council of Ministers to comply with such directions.

(2) The Government of Nepal may, pursuant to Sub-article (8) of Article 232 of the Constitution, give necessary directions on matters of finance to Local Levels, either directly or through the Province, and it shall be the duty of the Local Level to comply with such directions. 35. Responsibility of Province: (1) One Province shall assist in the implementation of laws, decisions, or orders related to financial matters of another Province.

(2) One Province shall provide equal security, treatment, and facility to the residents of another Province in respect of financial matters. 36. Coordination and Cooperation to be Made: (1) One Province may, with another Province, exchange information, consult, coordinate activities and legislation, and extend mutual cooperation on matters of common financial interest, concern, and benefit.

(2) The Government of Nepal, Province or Local Level may, in coordination with each other, make arrangements for collecting revenue within their responsibility through each other or for collecting certain types of revenue through a single window system.

(3) The Government of Nepal, Province or Local Level may make necessary coordination regarding matters of maintaining rates of revenue as uniformly as possible or other related matters. 37. Interim Arrangement Regarding Revenue Collection: (1) Until the Province Consolidated Fund is established and operated, the taxes, non-taxes, fines and penalties that a Province may levy and collect under this Act shall be collected by the Government of Nepal and deposited in the Federal Consolidated Fund.

(2) Until a law is made by the concerned Village Assembly or Municipal Assembly, a Local Level may collect the taxes, non-taxes, fines and penalties that it is entitled to levy and collect under this Act in accordance with the prevailing law. 38.

Standards May be Formulated and Implemented: The Government of Nepal may formulate and implement necessary standards for the implementation of this Act. 39. Publication in Nepal Gazette: The Ministry shall publish in the Nepal Gazette the classification and format of income and expenditure specified under this Act, and the standards pursuant to Section 38. Schedule-1 (Relating to Sub-section (1) of Section 3) Taxes and Non-Taxes that the Government of Nepal May Levy (a) Taxes (1) Customs duty, (2) Excise duty, (3) Value Added Tax, (4) Corporate income tax, (5) Personal income tax, (6) Remuneration tax. (b) Non-Taxes (1) Passport fee, (2) Visa fee, (3) Tourism service fee, (4) Service charge fee, (5) Gambling/lottery, casino, (6) Fines and penalties. (c) Other taxes and non-taxes levied in accordance with federal law and other prevailing laws. Schedule-2 (Relating to Sub-section (2) of Section 3) Taxes and Non-Taxes that a Province May Levy (a) Taxes (1) House and land registration fee, (2) Vehicle tax, (3) Entertainment tax, (4) Advertisement tax, (5) Tax on agricultural income. (b) Non-Taxes (1) Service charge fee, (2) Tourism fee, (3) Fines and penalties. (c) Other taxes and non-taxes levied in accordance with provincial law and other prevailing laws on matters within the jurisdiction of the Province. Schedule-3 (Relating to Sub-section (3) of Section 3) Taxes and Non-Taxes that a Local Level May Levy (a) Taxes (1) Property tax, (2) House rent tax, (3) House and land registration fee, (4) Vehicle tax, (5) Land tax (Land revenue), (6) Entertainment tax, (7) Advertisement tax, (8) Business tax. (b) Non-Taxes (1) Service charge fee, (2) Tourism fee, (3) Fines and penalties. (c) Other taxes and non-taxes levied in accordance with local law and other prevailing laws on matters within the

jurisdiction of the Local Level. Schedule-4 (Relating to Sub-section (2) of Section 7) Distribution of Royalties from Natural Resources (in Percentage) S.N.